

A SYSTEM UNDER STRAIN

\$2.4-\$35

MILLION ANNUALLY

Cost of performance evaluations on organisations

64%

Employees say performance reviews are “a complete waste of time” and do not improve performance

32%

Executives believe their current performance approach enables timely, high-quality decisions on high and low performers

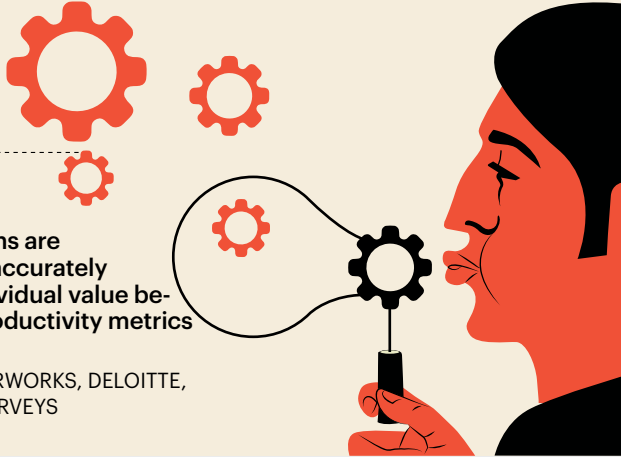
26%

of organisations say their managers are effective at enabling team performance

75%

of organisations are ineffective at accurately assessing individual value beyond basic productivity metrics

SOURCE BETTERWORKS, DELOITTE, AND GALLUP SURVEYS



failure. Over time, innovation slows—not because people lack ideas, but because the system quietly penalises uncertainty.

Differentiation in pay and promotions still occurs—but without forced distribution. Year-end decisions are based on outcomes achieved, supported by evidence and documented progress. “Without records, perceptions of bias creep in,” says Shelat.

For Indian organisations attempting similar shifts, he flags familiar risks: rigid KPIs, proximity and tenure bias, and excessive reliance on hierarchical judgment. Empowering managers to recognise real impact—rather than visibility—is essential if performance systems are to enable collaboration, innovation, and sustained morale.

Echoing this shift, Satyadeep Mishra, the CHRO at R Systems, says performance management at most organisations—including

his own earlier—was largely retrospective and documentation-driven. Annual reviews, fixed goals, and scoring past outcomes prioritised evaluation and compliance over development.

“That form of evaluation falls short in today’s dynamic, cross-functional workplace,” Mishra says, particularly with a multi-generational workforce that includes Gen Z. “Employees today don’t respond well to one-way feedback. They ask why, they question what, and they expect dialogue. The balance of power has shifted from manager-led assessment to a more equal, two-way conversation.”

Some companies are reimagining performance as a continuous system of alignment and learning and have shifted their focus from retrospective scoring to a forward-looking model that emphasises enablement, adaptability, and role-relevant skill development—critical in a digital engineering

environment where technologies and client expectations evolve rapidly. Annual reviews still exist, but they now consolidate insights gathered throughout the year rather than defining performance in isolation. Structured, two-way check-ins enable early course correction, clearer expectations, and shared accountability. Managers record feedback and progress in real time, reducing end-of-year reconstruction and perceptions of bias.

Nowhere is this shift more necessary than in India’s tech, digital, and services ecosystem. Rapid scaling, client-driven delivery, and matrixed teams are now the norm. In such environments, performance is rarely the outcome of individual effort alone—making systems built for isolated evaluation increasingly misaligned with how work gets done.

LATE FEEDBACK

From working closely with enterprise HR teams, Partha Neog, CEO & Co-Founder of Vantage Circle, sees a clear and growing misalignment between how performance is evaluated and how work happens today. “The breakdown of traditional reviews is no longer subtle,” he says. One key signal is where feedback now appears: employees increasingly express both frustration and appreciation through pulse surveys, engagement tools, collaboration platforms, and even exit interviews—indicating that formal reviews are becoming untrusted or irrelevant.

Data from *The State of Recognition & Rewards 2025* supports this shift. Organisations with structured, inclusive recognition programmes—where appreciation happens regularly—show nearly twice the design maturity of others, highlighting that recognition works best when woven into everyday work rather than being treated as a periodic ritual.

In fast-moving teams delivering